

Cap, trade, repeat: Your cheat sheet to the EU's carbon market reform

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By Zia Weise · Jul 15, 2026, 2:28 PM · [View in your browser](#)

BRUSSELS — Three letters are about to dominate policy debates in the European Union. Best get familiar with them.

This Friday, the European Commission will sketch out the future of the Emissions Trading System, or ETS. The reform proposal will kick off months of squabbling among leaders and lawmakers, accompanied by ferocious lobbying from industry and campaigners, as they dissect and amend the plans.

The outcome will determine the path forward for Europe's heavy industry, shaping decades of investments, and for the bloc's efforts to cut planet-warming pollution. That's because the ETS regulates the largest sources of greenhouse gas emissions in the EU, mostly factories and power plants, by turning carbon dioxide into an expense companies want to avoid.

In a nutshell, the ETS puts a price on pollution and thus incentivizes companies to invest in cleaner ways of operating. But rather than a tax, the system functions as a cap-and-trade carbon market.

What that means: Companies must hold pollution permits, known as allowances, for every ton of CO₂ they emit or face a fine. They can buy allowances at auction, sell any surplus on the open market — that's the "trade" part — and even receive a portion for free. The price fluctuates with supply and demand, currently sitting at €80 per allowance.

The number of allowances on the market is determined by a "cap" on how much all companies covered by the ETS are allowed to pollute. It is lowered every year. Together, the declining emissions limit and the cost incentive for clean technology uptake lead to industry pollution dropping.

This method has become the EU's most important tool for achieving its climate goals, and it's been extraordinarily successful: Since its start in 2005, the ETS has cut the bloc's annual emissions by 1 billion tons, roughly equivalent to what the global aviation industry emits.

But its current configuration is only designed to regulate pollution until 2030. Friday's proposal will aim to make the ETS fit for the next decade and beyond, with an eye on the bloc's goal to slash emissions to net-zero by 2050.

While the fundamental cap-and-trade principle won't change, the system comes with multiple levers that affect the price, effectiveness and climate ambition of the ETS.

Let us walk you through the core pillars of what will become one of the EU's top policy fights of the year.

1. Who pays

The ETS regulates only the biggest polluters — factories such as steel mills, power plants, airlines and shipping companies — accounting for around half the bloc's emissions.

Around 10,000 factories and power plants pay for their emissions. Also, large ships docking in the EU must buy allowances covering emissions of a voyage between two EU ports and half of all emissions if the journey starts or ends outside the bloc.

The ETS also applies to flights departing from and arriving in the European Economic Area (EEA) — the EU plus Iceland, Liechtenstein and Norway — no matter if the airline is European or foreign. For now, Brussels does not apply a carbon price to flights whose origin or destination lies outside the EEA. A rumored extension to all flights departing Europe is already fueling tensions with the aviation industry and raising fears of new trade conflicts.

(There's also a separate Emissions Trading System covering home heating and car transport starting in 2028, but this is not expected to feature in this week's reform.)

What to watch for: Whether the Commission will extend the scope of the ETS to include additional sectors, such as waste incineration and all international flights. Covering all flights could set Brussels on a collision course with the United States, which is fiercely opposed to such a move.

2. The climate factor

The ETS comes with its own emissions-slashing target. Until 2030, the EU wants all entities covered by the carbon market to reduce their combined pollution by 62 percent compared to 2005. The current trend suggests that goal will be met .

To force down emissions, the ETS cap also declines year after year by a certain percentage known as the Linear Reduction Factor (LRF). The higher the LRF, the lower the EU's emissions are.

The LRF's current trajectory would bring the cap to zero in 2039, meaning factories and ships would have to fully run on clean energy by then. As that's not considered realistic, the Commission is expected to adjust the factor.

What to watch for: What the LRF percentage ends up being. A minimal change would have industrial sectors struggling to decarbonize fast up in arms, while a significant reduction would see the EU executive accused of scaling back its climate ambitions.

3. Keeping the price stable

The price is crucial for the functioning of the ETS. If it's low, it won't have the desired effect of incentivizing emissions cuts. If it's high, companies struggling to bring down their pollution face enormous costs that they pass on to consumers. Some EU governments have described the current €80 price as an undue burden on the economy.

To ensure the price doesn't swing wildly, the Commission has a few tools. The most important one is the Market Stability Reserve (MSR), a mechanism that withdraws allowances if there are too many and releases permits if there's too few on the market. A certain amount of permits held in the MSR stash are deleted every year, eliminating those allowances — and possible emissions — for good.

Another option under discussion is introducing offsets — in the form of carbon removal certificates and/or international carbon credits.

Removal certificates would represent one ton of CO₂ taken out of the atmosphere through carbon capture technology, while foreign carbon credits account for emissions reduced outside the EU. Integrating either or both in the ETS would give companies more options to cover their pollution as the cap on domestic emissions allowances tightens.

What to watch for: Whether the Commission will tinker with the MSR, whether it will open the door to international carbon credits in the ETS, and how carbon removals will be added into the market. Removals are less controversial, as their addition would also incentivize investment in much-needed carbon capture tech, but foreign credits — which depressed the ETS price when they were traded in the 2010s — are highly contentious.

4. Polluting for free

The manufacturing sector, and some power plants, currently receive a certain share of pollution permits for free to reduce the cost burden and protect them from being outcompeted by foreign firms not subject to carbon pricing. Compliance with sector-specific performance benchmarks determines how many freebies a factory gets.

Sectors covered by the EU's new carbon border tax — steel, cement, aluminum, fertilizers, hydrogen and electricity — will see their free allowances phased out until 2034. That's to ensure the EU remains compliant with World Trade Organization subsidy rules.

What to watch for: To what degree the freebies will keep coming, how hard the Commission will make it for companies to get them, and if it will attach any conditions to the handouts. Many companies, backed by conservative governments, have been clamoring for more or at least a stable provision of free permits. Critics, however, warn that generous free allowances undermine the ETS.

5. What happens with the revenues

The ETS is a cash cow for EU governments: Since 2013, the auctioning of allowances has generated €265 billion in revenues.

Three-quarters of the money goes directly into the pockets of EU member countries. The ETS obliges them to spend it on climate action or the energy transition, though countries can also spend some of it to help heavy industry cover high electricity prices.

The remainder mainly flows into two EU funds: The Modernization Fund, which supports the energy transition of the 13 lowest-income member countries, and the Innovation Fund, which finances emerging low-carbon tech.

What to watch for: Whether the Commission will attach further conditions to the use of revenues and how various EU funds will be financed. The EU executive has already signaled that it would like to see more of the money flow back to industry to help manufacturers decarbonize faster. Governments, however, will be loath to part with the cash.

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2021/0211(COD) Revision of the EU Emissions Trading System

Discussions within the Council or its preparatory bodies

2021/0202(COD) Revision of the Market Stability Reserve

Final act published in Official Journal

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